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Canada Bread Reports Results for Second Quarter 2010

Toronto, Ontario – July 29, 2010… Canada Bread Company, Limited (TSX: CBY) today reported its financial results for the second quarter ended June 30, 2010. Second quarter highlights include:

- Adjusted Operating Earnings were $30.4 million; $33.1 million last year
- Net earnings were $20.7 million compared to $22.5 million last year
- Basic EPS were $0.81 compared to $0.89 last year

Note: Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income. Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. Refer to the section entitled Reconciliation of Non-GAAP Financial Measures at the end of this news release.

"Our Fresh bakery business delivered steady results however, our second quarter results continued to be affected by a volume decline in our North American Frozen business and our U.K. specialty bakery operations," said Richard Lan, President and CEO."We are taking steps to reduce costs and build volumes, and expect improvement through the remainder of 2010."

Financial Overview

Sales for the second quarter declined to $402.1 million from $435.9 million in the prior year, mostly due to currency translation impacts of a stronger Canadian dollar on sales denominated in U.S. dollars and British pounds and lower volumes in the Frozen Bakery segment.

Adjusted Operating Earnings in the quarter decreased to $30.4 million from $33.1 million. The earnings decline in the second quarter mostly reflected the impact of lower sales volumes in the Frozen Bakery segment partly offset by increased operating earnings in the Fresh Bakery segment.

Net earnings in the second quarter declined to $20.7 million or $0.81 per share compared to $22.5 million or $0.89 per share last year as a result of lower Adjusted

Operating Earnings and higher restructuring costs. Restructuring charges that were recorded in the second quarter mostly related to the restructuring of the specialty baked goods production in the U.K. and the previously announced construction of a new large-scale bakery and the related consolidation of three smaller bakery facilities in Ontario. The benefit of lower interest expenses in the quarter was offset by lower other income.

Business Segment Review

Following is a summary of sales by business segment:

($ thousands)	Second Quarter		Year-to-Date	
	2010	2009	**2010**	2009
Fresh Bakery	**$282,530**	$290,258	**$539,719**	$553,261
Frozen Bakery	**119,532**	145,660	**244,275**	295,782
Sales	**$402,062**	$435,918	**$783,994**	$849,043

Following is a summary of Adjusted Operating Earnings by business segment:

($ thousands)	Second Quarter		Year-to-Date	
	2010	2009	**2010**	2009
Fresh Bakery	**$27,515**	$25,379	**$48,206**	$38,197
Frozen Bakery	**2,871**	7,762	**2,504**	16,294
Adjusted Operating Earnings	**$30,386**	$33,141	**$50,711**	$54,491

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, prepared sandwiches, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Second quarter sales of $282.5 million were slightly lower than sales of $290.3 million in the same period last year, mostly due to increased trade investment in fresh bakery operations due to increased competitive pressure in the Canadian marketplace and lower sales volumes in the fresh sandwich business.

Adjusted Operating Earnings in the quarter increased to $27.5 million from $25.4 million in the same period last year as Fresh Bakery operations mostly benefited from a stronger Canadian dollar, which reduces the cost of U.S. dollar priced ingredients. These benefits were offset by inflationary costs, higher trade investment

and increased brand support. Brand investment included advertising and promotional expenses to support Dempster's Oven Fresh™ and Dempster's® Pita, and the new Dempster's® Smart™ 16, a line extension of Dempster's® Smart™, which includes 16 whole grains and reduced sodium.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co®.

Sales declined to $119.5 million from $145.7 million last year, in part due to the unfavourable impact of a stronger Canadian dollar on the Company's sales in the U.S. and U.K. and lower sales volume in both the North American and U.K. frozen bakery businesses.

Adjusted Operating Earnings in the quarter declined to $2.9 million compared to $7.8 million last year, mostly due to the decline in sales volume and related operational inefficiencies. Management continues to expect the impact of lower volumes in North America to be transitory and is taking steps to reduce the cost base in the Company's U.K. operations.

Other Matters

On July 28, 2010, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on October 1, 2010 to shareholders of record at the close of business on September 6, 2010. Unless indicated otherwise, by the Company, in writing at or before the time the dividend is paid, this dividend will be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "will," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking

statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on expectations concerning performance of the Company's business in general, and are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and the British pound; initiatives to restore sales volumes in the North American and U.K. frozen bakery businesses; initiatives to reduce its cost base in the U.K.; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified under the "Risk Factors" in the Company's Annual Management's Discussion and Analysis for the year ended December 31, 2009 will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully under the heading "Risk Factors" in the Company's Annual Management's Discussion and Analysis for the year ended December 31, 2009 including the section entitled "Risk Factors" that is available on SEDAR at www.sedar.com. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Canada Bread Company Limited, which is 90.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2009 sales of $1.7 billion and employs approximately 8,000 people at its operations across North America and in the United Kingdom.

Reconciliation of Non-GAAP Financial Measures

The following non-GAAP measures are referred to in this news release: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-GAAP measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by Canadian GAAP and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with Canadian GAAP.

Adjusted Operating Earnings

The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under Canadian GAAP in the unaudited interim period consolidated statements of earnings for the three and sixth month periods ended as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs, and other income (expense) are not representative of operational results.

($ thousands)	Three months ended June 30,		Six months ended June 30,	
	2010	2009	2010	2009
Net earnings	$ 20,686	$ 22,537	$ 33,413	$ 37,419
Income taxes	8,046	9,461	13,027	15,633
Earnings before income taxes	$ 28,732	$ 31,998	$ 46,440	$ 53,052
Interest expense	904	1,814	1,888	3,307
Restructuring and other related costs	805	101	2,509	674
Other income	(55)	(772)	(127)	(2,542)
Adjusted Operating Earnings	**$ 30,386**	**$ 33,141**	**$ 50,710**	**$ 54,491**

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per share to basic earnings per share as reported under Canadian GAAP in the unaudited interim period consolidated statements of earnings for the three and six month periods ended as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results, as restructuring and other related costs are not representative of operational results.

($ per share)	Three months ended June 30,		Six months ended June 30,	
	2010	2009	2010	2009
Basic Earnings per Share	$ 0.81	$ 0.89	$ 1.31	$ 1.47
Restructuring and other related costs[(i)]	0.02	-	0.07	0.02
Adjusted Earnings per Share[(ii)]	**$ 0.84**	**$ 0.89**	**$ 1.39**	**$ 1.49**

(i) *Includes per share impact of restructuring and other related costs, net of tax.*
(ii)*Does not add due to rounding.*

Consolidated Interim Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three months ended June 30, 2010 and 2009

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at June 30, 2010	As at June 30, 2009	As at December 31, 2009
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 88,875**	$ 21,124	$ 57,698
Accounts receivable	**70,032**	68,020	63,620
Due from Maple Leaf Foods Inc.	**978**	76	-
Inventories	**57,790**	58,140	56,659
Future tax asset	**1,770**	5,436	1,640
Prepaid expenses and other assets	**5,323**	6,571	4,438
	$ 224,768	$ 159,367	$ 184,055
Property and equipment	**382,044**	410,456	387,252
Goodwill	**384,379**	405,877	386,807
Other intangible assets	**15,482**	20,245	16,678
Other long-term assets	**11,849**	10,453	11,620
	$ 1,018,522	$ 1,006,398	$ 986,412
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 8,071**	$ 9,511	$ 4,247
Accounts payable and accrued charges	**183,182**	179,756	172,172
Due to Maple Leaf Foods Inc.	**-**	-	3,817
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**10,022**	12,576	13,155
Current portion of long-term debt	**-**	42	-
	$ 202,800	$ 203,410	$ 194,916
Long-term debt	**2,420**	14,997	2,547
Future tax liability	**32,055**	35,726	33,338
Other long-term liabilities	**8,299**	8,623	8,524
Shareholders' equity	**772,948**	743,642	747,087
	$ 1,018,522	$ 1,006,398	$ 986,412

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended June 30, **2010**	2009	Six months ended June 30, **2010**	2009
Sales	**$ 402,062**	$ 435,918	**$ 783,994**	$ 849,043
Cost of goods sold	**317,045**	350,578	**623,852**	687,844
Gross margin	**$ 85,017**	$ 85,340	**$ 160,142**	$ 161,199
Selling, general and administrative expenses	**54,631**	52,199	**109,432**	106,708
Earnings from operations before the following:	**$ 30,386**	$ 33,141	**$ 50,710**	$ 54,491
Restructuring and other related costs	**(805)**	(101)	**(2,509)**	(674)
Other income	**55**	772	**127**	2,542
Earnings before interest and income taxes	**$ 29,636**	$ 33,812	**$ 48,328**	$ 56,359
Interest expense	**904**	1,814	**1,888**	3,307
Earnings before income taxes	**$ 28,732**	$ 31,998	**$ 46,440**	$ 53,052
Income taxes	**8,046**	9,461	**13,027**	15,633
Net earnings	**$ 20,686**	$ 22,537	**$ 33,413**	$ 37,419
Earnings per share – basic and diluted	**$ 0.81**	$ 0.89	**$ 1.31**	$ 1.47
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Comprehensive Income
(In thousands of Canadian dollars)

(Unaudited)	Three months ended June 30, **2010**	2009	Six months ended June 30, **2010**	2009
Net earnings	**$ 20,686**	$ 22,537	**$ 33,413**	$ 37,419
Other comprehensive income (loss)	**16,506**	(2,874)	**(4,502)**	920
Comprehensive income	**$ 37,192**	$ 19,663	**$ 28,911**	$ 38,339

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Six months ended June 30, **2010**	2009
Retained earnings, beginning of period	**$ 658,541**	$ 587,163
Net earnings	**33,413**	37,419
Dividends declared ($0.12 per share; 2009: $0.12 per share)	**(3,050)**	(3,050)
Retained earnings, end of period	**$ 688,904**	$ 621,532

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

(Unaudited)	Three months ended June 30, **2010**	Three months ended June 30, 2009	Six months ended June 30, **2010**	Six months ended June 30, 2009
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	**$ 20,686**	$ 22,537	**$ 33,413**	$ 37,419
Add (deduct) items not affecting cash:				
Depreciation and amortization	**12,380**	14,078	**25,071**	28,155
Future income taxes	**108**	(872)	**(1,933)**	(796)
Loss (gain) on sale of property and equipment	**5**	138	**(47)**	330
Amortization of terminated interest rate swap	**659**	645	**1,317**	645
Change in provision for restructuring and other related costs	**(725)**	(433)	**347**	(974)
Other	**(20)**	(1,388)	**75**	(2,031)
Change in non-cash operating working capital	**1,514**	(7,096)	**(6,201)**	(28,088)
Cash provided by operating activities	**$ 34,607**	$ 27,609	**$ 52,042**	$ 34,660
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(3,050)**	(3,050)
Net increase (decrease) in long-term debt	**109**	1,272	**(127)**	10,520
Settlement of interest rate swaps with Maple Leaf Foods Inc.	**-**	(8,502)	**-**	(8,502)
Cash used in financing activities	**$ (1,416)**	$ (8,755)	**$ (3,177)**	$ (1,032)
Investing activities				
Additions to property and equipment	**(14,554)**	(9,524)	**(22,110)**	(24,366)
Proceeds from sale of property and equipment	**-**	77	**685**	469
Other	**(137)**	255	**(87)**	(945)
Cash used in investing activities	**$ (14,691)**	$ (9,192)	**$ (21,512)**	$ (24,842)
Increase in cash and cash equivalents	**$ 18,500**	$ 9,662	**$ 27,353**	$ 8,786
Net cash and cash equivalents, beginning of period	**62,304**	1,951	**53,451**	2,827
Net cash and cash equivalents, end of period	**$ 80,804**	$ 11,613	**$ 80,804**	$ 11,613

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

(Unaudited)	Three months ended June 30, **2010**	Three months ended June 30, 2009	Six months ended June 30, **2010**	Six months ended June 30, 2009
Sales				
Fresh Bakery	**$ 282,530**	$ 290,258	**$ 539,719**	$ 553,261
Frozen Bakery	**119,532**	145,660	**244,275**	295,782
	$ 402,062	$ 435,918	**$ 783,994**	$ 849,043
Earnings from operations before restructuring and other related costs and other income				
Fresh Bakery	**$ 27,515**	$ 25,379	**$ 48,206**	$ 38,197
Frozen Bakery	**2,871**	7,762	**2,504**	16,294
	$ 30,386	$ 33,141	**$ 50,710**	$ 54,491
Additions to property and equipment				
Fresh Bakery	**$ 9,407**	$ 5,703	**$ 13,491**	$ 11,431
Frozen Bakery	**5,147**	3,821	**8,619**	12,935
	$ 14,554	$ 9,524	**$ 22,110**	$ 24,366
Depreciation and amortization				
Fresh Bakery	**$ 6,476**	$ 6,911	**$ 13,265**	$ 14,059
Frozen Bakery	**5,904**	7,167	**11,806**	14,096
	$ 12,380	$ 14,078	**$ 25,071**	$ 28,155

	As at June 30, 2010	As at June 30, 2009	As at December 31, 2009
	(Unaudited)	(Unaudited)	
Total assets			
Fresh Bakery	**$ 456,530**	$ 443,964	$ 441,020
Frozen Bakery	**458,575**	516,077	476,681
Non-allocated assets	**103,417**	46,357	68,711
	$ 1,018,522	$ 1,006,398	$ 986,412
Goodwill			
Fresh Bakery	**$ 157,120**	$ 155,962	$ 155,946
Frozen Bakery	**227,259**	249,915	230,861
	$ 384,379	$ 405,877	$ 386,807